

Northgate Talent Partners LLC

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DRAFT -- superseded by the final version; not for distribution

Jason Vasquez
General Manager
Davis and Sons

Dear Mr. Vasquez:

Thank you for the morning in your office. It was a candid conversation, more candid than most first meetings are, and we came away understanding why this seat has been hard to fill rather than simply that it has been. We would be glad to run the search. This letter sets down what we have agreed, so that in October neither of us is working from memory.

Please read it against what we discussed. If any part of it sits differently from what you understood, say so before you sign. We will put it right.

The Search We Will Run

Northgate will conduct a retained search for a head of operations at Davis and Sons, reporting to you. The role is defined by a written position specification. We draft it with you, you approve it, and nobody is approached before you do. It is the document every conversation is then measured against. If the market disagrees with it, and on a role of this kind the market usually has an opinion, we bring that back to you and change the specification openly instead of quietly widening the brief.

Retained is not the same thing as contingent, and the difference shows up in how we behave. What you are buying is the whole market looked at properly, including the parts of it that turn out to hold nobody. A search run this way gives you fewer names and better ones.

How It Proceeds

The work moves through five steps. In practice they overlap, and research carries on while the first approaches are already out.

- 1. Specification. We meet you and the people this person will work with daily, then draft the specification for your approval.
- 2. Research. We map the businesses where an operator of this description sits today, and we build the target list off that map.
- 3. Approach. We make the calls ourselves. Nobody at your company has to have an awkward conversation with a competitor.
- 4. Slate. We put a short list in front of you with a written appraisal of each person on it, and we run your interview process from there.
- 5. References and close. We take references in depth, help you shape the offer, and stay with the search until your candidate has accepted and given notice.

You will hear from us on a regular cycle and not only when there is good news to report. Each report tells you how many people we have approached, how many are in live conversation, and where the market is pushing back. Where it pushes back on the specification, you will hear that early, while there is still time to do something with it.

The People On It

James Grant will carry the search day to day and is the person to call about anything of substance. He has spent most of his career on operations roles in owner-managed businesses, and he will not put a name in front of you until he can say precisely why it belongs there. Nicole Donovan handles the research behind the target list, the scheduling, and the written record of our sessions with you. I read everything that leaves this firm under our name, and my line stays open to you for the length of the search.

Our Fee, and When It Falls Due

The fee for the assignment is \$100,500. It is fixed at the outset. It is not a percentage of what you eventually agree to pay the person we find, which is what makes our advice on that number worth having. We invoice in three equal parts: on commencement, on delivery of the slate, and on acceptance. Invoices are payable thirty days from receipt.

Expenses sit outside the fee and are billed at cost. They are candidate travel, our own travel to your sites, and any research we buy in from outside the firm. Anything

material we agree with you before we incur it. The detail appears line by line on the invoice and never as a lump.

Term, and How Either of Us Ends It

The engagement begins July 5, 2018 and we expect it to run about five months from that point through to a signed acceptance. Either of us may end it on thirty days' written notice. If you end it, you owe the installments already due and the expenses already committed on your behalf. Nothing beyond that.

If the person we place leaves you inside twelve months, for any reason other than a change you make to the role or to its terms, we will run one replacement search for expenses only.

Discretion

What we learn about Davis and Sons in the course of this work we hold in confidence and use for this search only. We ask the same of you about candidates, and here I will press the point. Most of the people we approach are settled where they are and take a real risk in talking to us at all. Their names stay inside your interview process. They do not appear in board papers or in anything that circulates, and we will not confirm to anyone outside the process that a particular person is in conversation with you.

For the term of this engagement and for one year after it closes, we will not approach the person we place, or anyone on your management team, on behalf of another client.

What We Warrant, and What We Do Not

We will do the work with the care and skill you are entitled to expect. We verify what a candidate tells us about their record, and where something could not be verified we will say so plainly rather than leave it to be assumed. The decision to hire is yours. We give no warranty as to how anyone you employ will perform in the role. Our liability under this agreement is limited to the fees paid under it, except where the law does not permit that limit.

Which Law Governs

This agreement is governed by the law of the state in which our office is established, and any dispute arising under it belongs in that state's courts. If a provision of this letter is found unenforceable, the remainder stands.

If this reflects your understanding, please sign both copies and return one to me. The next step is ours and it is a short one: James Grant will telephone your office this

week to fix the two specification meetings, and we would ask you to bring whoever holds the operating numbers today into the second of them.